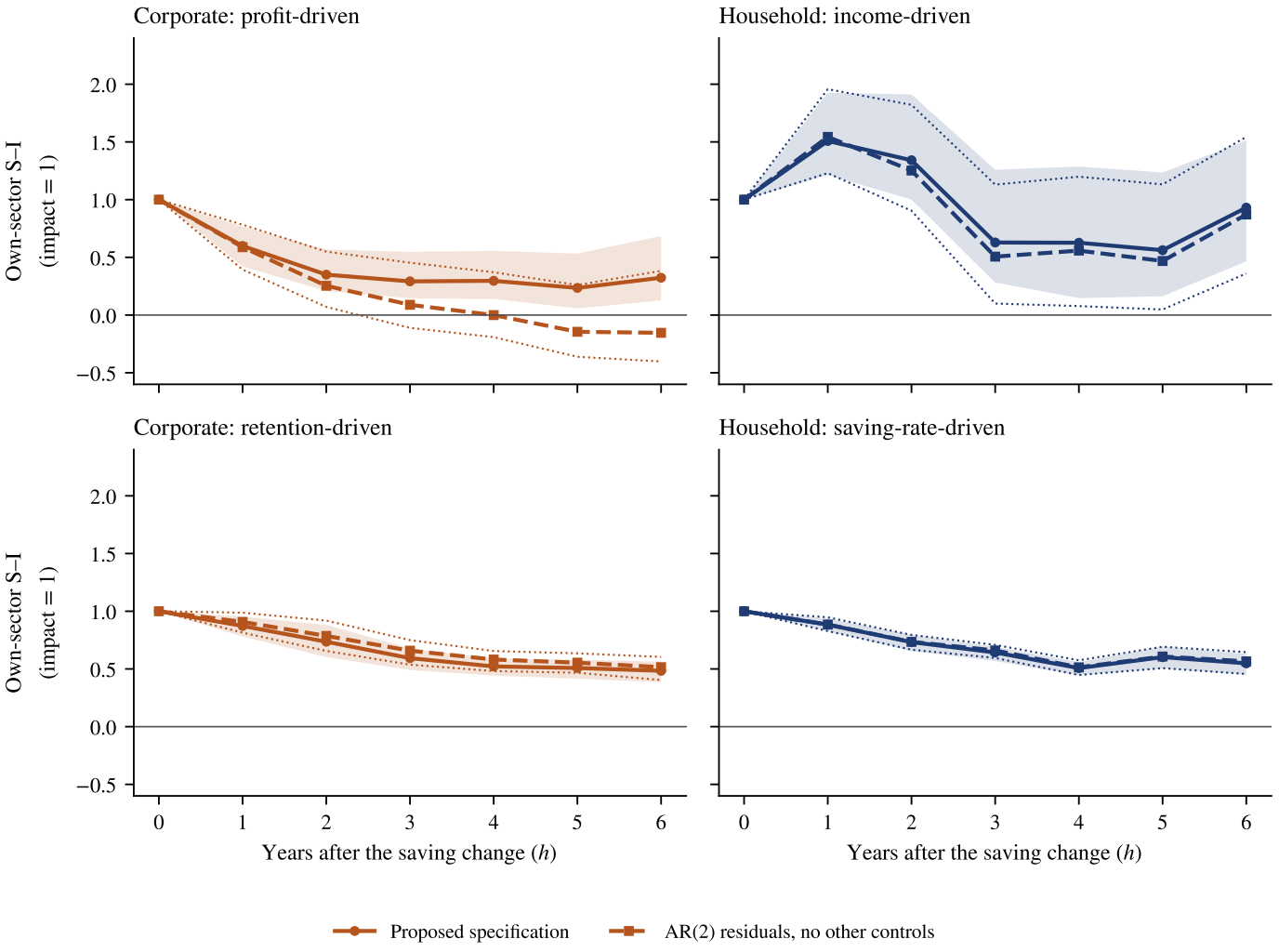
Proposed specification and AR(2) pre-whitened components



Notes: N = 871, 38 economies; same country-years and weights in both specifications. AR(2) residuals: each component regressed on its own two lags and country and year fixed effects; the four residuals enter jointly without other controls. Shaded areas (proposed) and dotted lines (AR) are 68 percent bands from a country-cluster bootstrap (499 replications), re-estimating the residuals in each replication.